

STUDY GUIDE

HISTORICAL LOK SABHA



Freeze Date: 12th July, 1991

Agenda 01: Discussing the Impact of India's Balance of Payments Crisis

Agenda 02: Deliberating on Institutional Responses to Rising Insurgencies





Letter from R&D

Dear Delegates,

It gives the Department of Research & Development, MUN Society MPSTME, immense pleasure to welcome you to the 12th edition of Mumbai MUN! True to our legacy, we remain committed to upholding and building upon a tradition of fostering informed discussions on matters of widespread concern.

We are primarily responsible for formulating relevant agendas and developing study guides that aim at imparting a holistic understanding of the issues at hand. This document has been prepared with a *first principles* approach, meant to play a part in orienting the committee discussions towards one that rises above the convention, and is characterised by substantiveness and inclusivity.

This year's theme, 'Voice Amidst the Void,' stands to remind us that when ideals fade into absence, voices must prevail. In an increasingly complex world, with an absence of conviction and shared purpose, we believe that the introduction of new ideas and impactful discourse is the need of the hour. True progress requires us to have the courage and willingness to speak up, have our perspectives heard, and to make sure that no voice is lost amidst a void of apathy.

Keeping this theme in mind, we have deliberately curated committees and agendas that focus on issues often overlooked in global conversations, in order to foster meaningful dialogue and resolution where it is most needed. In this study guide, you will find well-researched background information to help you prepare for your committee sessions. As facilitators, our aim is to equip you with the resources and insights you need to make the most out of your experience at Mumbai MUN.

We look forward to your active participation and contributions during Mumbai MUN and are confident that, together, we can make this conference an inspiring, enriching, and especially memorable experience for all.

Best wishes,

Department of Research & Development,
MUNSociety MPSTME.

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Agenda 1: Discussing The Impact of India's Balance of Payments Crisis

COMMITTEE OVERVIEW

The Lok Sabha is the Lower House of the Indian Parliament. It consists of members elected directly by the people through parliamentary elections in their constituencies. The maximum membership of the Lok Sabha is 545, with 543 elected members and 2 members representing the Anglo-Indian Community.

The Lok Sabha, along with the Rajya Sabha, is the primary legislative body of the country. All the bills, laws and Amendments to the Constitution are discussed and passed through voting in the Lok Sabha. The Lok Sabha has considerable power over the country's finances too, being the only House empowered to introduce and pass Money Bills, and being the House responsible for passing the annual Union Budget. The Lok Sabha also exercises control over the executive branch of the Government, as the Prime Minister, along with the Council of Ministers, is collectively responsible to the Lok Sabha, and must maintain its confidence to stay in power.

To pass a Bill introduced in the Lok Sabha, a simple majority of more than 50% of the members present and voting is required.

AGENDA OVERVIEW

A Balance of Payments Crisis occurs when a country is unable to finance its foreign transactions, typically because of unsustainable, persistent fiscal account deficits and issues in currency valuation.¹ This is the situation that India finds itself in, in 1991, where its foreign reserves have nearly dried up, stifling the import-driven economy. Several factors are responsible for India's Balance of Payments Crisis, such as an overreliance on imports, undercompetitive

domestic production and a worryingly high external debt. These factors have significantly impacted the country's ability to finance its foreign trade and domestic development, pushing India to the brink of default on its obligations.

The strain placed by the Balance of Payments Crisis on the Indian economy is alarming, and a rethinking of economic strategy is clearly required to improve the country's financial stature. The severe impact of the Crisis calls for a Parliamentary discussion on the measures necessary to amend the situation; its causes and deliberations on how the country's economy can be reshaped to avoid such a situation arising in the future.

BACKGROUND

A Brief History of India's Economy Post-Independence

Newly independent India had inherited a failing economy from the British Raj. The country had suffered greatly under the British policy of deindustrialisation, which had caused widespread poverty. Post-independence, India was reported to be the poorest country in the world in terms of per capita income. The Nehru government, thus, had the responsibility of rebuilding India in a post-WW2 global scenario. Resentful of the Western capitalistic policies with which the British had governed India, India's policymakers looked to socialism for inspiration.

Nehruvian Socialism

Jawaharlal Nehru was a key supporter of including socialist policies in Indian governance.

But according to the *India International Centre Quarterly* ("Jawaharlal Nehru and his Socialism" - Jag

¹ Krugman, P. (1979). A Model of Balance-of-Payments Crises. *Journal of Money, Credit and Banking*, 11(3), 311–325.

Mohan), Nehru did not consider his socialism to be ideological. He had studied multiple forms of socialism, even having visited the Soviet Union during the 10th anniversary of the Russian Revolution. Concluding that there was no need to be dogmatic, Nehru considered socialism a forever-evolving idea, and not an ideology set in stone.

Over the next thirty years, Nehru is said to have continued legitimising the ideals of socialism into the credo of the Indian National Congress. At the 1936 session of the Congress in Lucknow, Nehru stated that he was convinced that socialism contains the 'only key to the solution of the world's problems and of India's problems'. Influenced by the socialist revolution in the USSR from a young age, he saw it as the 'unfolding of a new future'. These beliefs trickled down into his first government's policies, informing his reforms.

In 1938, Nehru chaired the All-India National Planning Committee, which initiated socialist planning for the country. The Planning Commission was established, and the stage was set for further socialist reforms such as the 1955 Avadi Resolution.

1955 Avadi Resolution & 5 Year Plan

At the 1931 Karachi Session of the Congress, a resolution was passed which adopted the idea of Fundamental Rights. The Congress, in a pledge to the people, publicly recognised its belief that 'in order to end the exploitation of the masses, political freedom must include real economic freedom of the starving millions'.

Building on the principles of the Karachi Congress resolution, prominent Indian leaders felt the need to create a formalised plan to set up a 'mixed economy' in the country. Thus, the First 5 Year Plan was formulated to guide the country's economic growth from 1951 to 1956. The Plan was a natural progression from the ideals of the controversial 1944 Bombay Plan, which was

promulgated by several industrialists. Among other objectives, it set out to reverse the losses felt by the Indian economy due to Independence and the Second World War. India was to develop the basic resources necessary for making possible a rapid rate of economic development, and establish a mechanism for the public sector to guide and control activities in agriculture, cottage industries, and large-scale industries.



Nehru presents the First 5 Year Plan
Source: The Indian National Congress

While a clear nod to the Soviet five-year plan, it ignored rural development beyond agriculture and largely ignored heavy industries. Its central objective was to improve wealth and income disparity in the country, but Anuradha Trivedi of *The Indian Journal of Political Science* wrote, "It seemed that there was a wide gulf between the expectations of the people and the achievements of the planned economy."

To spell out the social objectives in the form of a party resolution, the Congress met at Avadi in Madras in 1955. The resolution reads, "In order to realize the object of the Congress as laid down in Article I of the Congress constitution and to further the objectives stated in the Preamble and the Directive Principles of State Policy of the Constitution of India, planning should take place with a view to the establishment of a socialistic pattern of society, where the principal means of production are under social ownership or control, production is progressively speeded up and there is equitable distribution of national wealth." At

Avadi, the Congress recognised the goal of setting up a welfare state.²

Licence Raj

Business and industry in newly independent India were governed by the Industries (Development and Regulation) Act, 1951. The Act brought multiple important industries under Central control, with the government reasoning that the development of these industries must be governed by economic factors of all-India import. To control the pace of industrial progress across the country, the government, empowered by the Act, introduced a system of industrial licensing. These important industries were brought under State control to improve the income disparity in the country.³ These licences were difficult to obtain and suffered long wait times. Licenses were required to build, manage and use a factory, but the bureaucratic nature of these licenses made the probability of obtaining a license difficult to determine. According to the 1966 *Industrial Planning and Licensing Policy*, Interim Report to the Planning Commission, Bombay, 35% of all licences between 1959 and 1960 were rejected, with rejected applicants accounting for around 50% of the total investment of all applications. Long delays were common, and no reasons were given for the rejection of licences. This system, according to some, tended to favour bigger industrialists like Birla and Tata, who would submit multiple early applications as a means of foreclosing on plan capacity.⁴ Rajagopalachari, frustrated with the Congress's stance on industry, left the party and founded his own, the short-lived Swatantra Party, in 1959.

Coining the term Licence Raj, a play on the term British Raj, he sharply criticized the "permit-licence-quota" system.⁵

Nationalisation of Banks & Indira Gandhi's Policies

India suffered a conclusive defeat at the hands of the Chinese during the 1962 Indo-Sino War. Following this, Pakistan led an offensive against India in the Rann of Kutch and in Kashmir. These wars had severely depleted India's treasury. India requested food aid from the United States and other allies, but received significantly less aid than the country required. President Johnson of the United States reportedly wanted to see India move in a more market-friendly direction before supplying aid.

International financial organisations like the World Bank and the International Monetary Fund pressured India to attempt liberalisation in 1966. However, due to yet another failed harvest, political backlash against liberalisation mounted, and the government gave up on the idea.

According to *Pacific Affairs*, Indira Gandhi was just learning to play the premier's role in 1966, and was therefore particularly sensitive to the way in which members of parliament, especially those who backed her, reacted to the rupee devaluation package announced in 1966. Additionally, dependence on foreign aid was viewed with great distrust, adding to Mrs Gandhi's unpopularity within the party.

² Ghoshal, A. K. (1962). DEMOCRATIC DECENTRALISATION IN INDIA—AN ESSAY IN SARVODAYA APPROACH. *The Indian Journal of Political Science*, 23(1), 327-337.

³ Parliament of India. (1951, October 31). The Industries (Development and Regulation) Act, 1951. [https://thc.nic.in/Central Governmental Acts/Industries \(Development and Regulation\) Act, 1951.pdf](https://thc.nic.in/Central Governmental Acts/Industries (Development and Regulation) Act, 1951.pdf)

⁴ Aghion, P., †, Burgess, R., ‡, Redding, S., §, Zilibotti, F., ¶, The Suntory Centre, Suntory and Toyota International Centres for Economics and Related Disciplines, & London School of Economics and Political Science. (2005). The Unequal Effects of Liberalization: Evidence from Dismantling the License Raj in India.

⁵ Morris-Jones, W. H. (1969). The Swatantra Party and Indian Conservatism. By H. L. Erdman. Cambridge University Press: Cambridge, 1967. Pp. xii + 356, 60s. *Modern Asian Studies*, 3(1), 131. <https://doi.org/10.1017/S0026749X00002146>

The 1967 general elections saw the Congress's worst defeat at the polls since independence. This led to Indira Gandhi assuming the finance portfolio herself, following which she got the Cabinet to unanimously accept the nationalisation of the fourteen major commercial banks. This move, which placed 83% of the total banking system under State control, tilted the scales in her favour, not only and not so much in the Congress Parliamentary Party as in the Parliament as a whole. Supporting her decision, which was opposed by only the two rightist parties, the Swatantra and the Jana Sangh, were not only the traditional parties of the Left, the Socialist and the Communist, but even three important regional parties: the DMK of Tamil Nadu, the BKD of Uttar Pradesh, and the Akali Dal of Punjab.⁶



The Times of India, 21 July 1969

Source: India Before 1991

The MRTP Act of 1969

Indira Gandhi's policies had won her widespread support and an indisputable victory against the Syndicate. However, Gandhi did not control a majority in Parliament. To overcome this hurdle, she took major steps, one of which was the Monopolies and Restrictive Trade Practices (MRTP) Act of 1969. The government appointed an MRTP Commission to check the concentration

of economic power within a few heavyweight families. Originally intended to curb monopolies in industry, it was considered to be detrimental to conducting business in the country. It also vaguely and loosely defined what constituted a business, which opened up the opportunity for businesses to under-report their size.⁷

The Dutt Committee

The Dutt Committee was formed to revise the power structures in the Indian economy. Formally known as the Industrial Licensing Policy Inquiry Committee, it found that there were systemic problems with industrial growth in the country. Among others, it recommended the creation of a 'joint sector' in multiple industries, with a view of socialising the management of the enterprises controlled by the large houses in the core industries. However, this was perhaps the only major recommendation of the Dutt Committee that was not accepted by the government in 1970.

The Sixth Five-Year Plan

The Sixth Five-Year Plan was formulated as the first step in the process of liberalisation. It incorporates, in the concrete form of targets and allocations, these assurances in the Janata Party Manifesto. Under the Plan, a total outlay of about Rs. 3,400 crores (including a projected Plan outlay of Rs. 1,410 crores, plus Rs. 2,000 crores from private sources, including banking and financial institutions) would be made for small-scale and cottage industries. This was expected to result in a three-fold increase, from Rs. 6,700 crores in FY 1977-78 to Rs. 26,700 crores in FY 1982-8, in the output of small-scale industries. Employment in the village and small-scale

⁶ Torri, M. (1975). Factional politics and economic policy: The case of India's bank nationalization. *Asian Survey*, 15(12), 1077–1096

⁷ Oza, A. N. (1973). Curbing Concentration of Economic Power: A Critique of the New Licensing Policy. *Economic and Political Weekly*, 8(16), 760–764.

industries was expected to increase by eight million workers.

A New India: Rajiv Gandhi & His Ideas for Liberalisation

The India that Rajiv Gandhi was sworn into office in was one made unstable by the riots of November 1984, sparked by the assassination of his mother, Indira Gandhi. It was also an India in need of a boost in its productive capacity to remain competitive in the global market, which Rajiv Gandhi believed could be achieved only through systemic change. He stated in the Parliament in February 1985, "We cannot pretend to be equal to other countries when we are operating systems that are 20 years old or 10 years out of date." To give the Indian economy a boost, his government would take the following steps:

Relaxation of the MRTP Act

The previously discussed MRTP Act, 1969, was seen as a limitation on the workings of the Indian private sector.⁸ Its designation of any company with assets over 25 Crore as an MRTP Company, which required prior Government approval for new mergers, expansions and undertakings, was perceived as an issue stagnating the Indian market. To remedy this, in 1985, the Rajiv Gandhi Government decided to make an amendment to the MRTP Act of 1969, which raised the MRTP Company limit from 20 crores to 100 crores, allowing the private sector to be more efficient and productive. This relaxation was a step towards systemic economic reform and the establishment of market trends in India.

New Computer Policy

Rajiv Gandhi's vision for India as a technologically advanced country was very clear, as even his cabinet was called the "computer boys" by the media. Naturally, his first major policy decision was the introduction of the New Computer Policy of December 1984. The Policy marked a monumental shift in attitude from the Indian Government's older handling of the IT Sector. The New Computer Policy removed production restrictions on computer companies, allowed them to import computer parts for production and allowed the entry of foreign rivals into the Indian Market. The Policy also removed high import duties on computer units, which allowed for cost reduction for the manufacturer and the Indian customer alike. These changes fostered competition and boosted production, which was helpful for India to try and reach its lofty goal of expanding computer production from 4000 units in 1984 to 100,000 units in the next five years.⁹

India's Shift Towards a Free Market

The Indian economy from the period of 1947 to 1985 was marked by a dominance of the public sector over production, and the emphasis on planned development through five-year plans. Rajiv Gandhi's government marked a shift in India's macroeconomic thought, with various steps being taken to move India towards a more business-friendly economy. This shift is reflected in the contents of the Industrial Policy Resolution, 1985 and 1986. The Resolution aimed to increase foreign investment in India by opening up industrial avenues for investment to enter into and by allowing MNCs to now own up to 49% equity in an Indian subsidiary. The focus on domestic efficiency was reflected in the aforementioned relaxation of the MRTP Act, along with the scrapping of compulsory licensing

⁸ A. N. Oza. (1971). Putting Teeth into the Monopolies Act. *Economic and Political Weekly*, 6(30/32), 1703–1708.

⁹ Ninan, T. (1984, December 15). *New policy allows computer companies to produce as much as they can*. India Today. <https://www.indiatoday.in/magazine/economy/story/19841215-new-policy-allows-computer-companies-to-produce-as-much-as-they-can-803490-1984-12-14>

for all but 64 industries. The Resolutions also focused on modernising industry by paying high attention to sunrise industries such as telecommunication, computerisation and electronics. These attempts at promoting the private sector and incentivising modernisation embodied India's shift towards a market economy. However, this shift was not unopposed, as Rajiv Gandhi's policies also drew criticism from rural and tribal peoples, who felt that these reforms were "pro cities" and "pro rich". Nonetheless, economic reforms of the Rajiv Gandhi era paved the way for discussions of a free market in India.¹⁰¹¹

POLITICAL & ECONOMIC TURMOIL IN INDIA

Foreign Reserves Come Up Empty

By 1991, India found itself in a dire economic situation. Heavy spending on imports and costly agricultural subsidies, which caused the fiscal deficit to reach 8.4 per cent of the GDP, had taken their toll, as the country was entangled in a Balance of Payments Crisis.¹² This meant that India's import bill had outweighed its export capacity, leading to a freefall of the country's foreign reserves. The situation was exacerbated by the effects of the Gulf War, which caused the prices of oil imports to skyrocket, and the diminishing of the Soviet Union's economic capability as India's largest trade partner. The Indian economy was severely impacted by this crisis, as at one point, India's foreign reserves held only enough money to last the country three weeks' worth of imports.

The Dissolution of the VP Singh Ministry

The VP Ministry had to deal with the pressure of the looming Balance of Payments Crisis. VP Singh's tenure as Rajiv Gandhi's Finance Minister would show promising signs of financial liberalisation reforms, a commitment towards fighting the "License Raj" and a rigorously anti-corruption attitude. However, in the backdrop of a tense political climate, the Ministry would not have the ability to implement further economic reforms, which would only serve to exacerbate India's tense economic situation.¹³ VP Singh would go on to be the first Indian Prime Minister to be ousted through a no-confidence motion on November 10, 1990, losing the vote 142-346.

The Airlift to Europe

By the time the Chandra Shekhar Government had come into power, the threat of India's Balance of Payments Crisis was looming large. India's foreign reserves were running slim, which threatened to trigger a currency crisis in the country. The country's financial position was so precarious, that in 1990, the country barely had enough foreign reserves to support 3 weeks' worth of imports. It was amidst this financial mess that the RBI Governor, S Venkitaramanan, presented the idea of raising money from international banks by offering gold as collateral. This idea was implemented in May 1991, when the government decided to lease smuggled gold confiscated by customs to the State Bank of India, which then sold it to a Swiss bank to raise \$200 million. The RBI then negotiated with the Bank of England and the Bank of Japan for an additional loan of \$400 million, which would be secured by

¹⁰ Migdal, J. S., Kohli, A., & Shue, V. (2007). *State power and social forces domination and transformation in the Third world* ed. by Joel S. Migdal, Atul Kohli, Vivienne Shue. Cambridge University Press.

¹¹ *Industrial policy and performance*. India Budget. (1985, March 16).

https://www.indiabudget.gov.in/budget_archive/es1985-86/4%20Industrial%20Policy%20and%20Performance.pdf

¹² *The economic situation in 1990-91*. India Budget. (1991). https://www.indiabudget.gov.in/budget_archive/es1990-91/1%20The%20Economic%20Situation%20in%201990-91.pdf

¹³ Kochanek, S. A. (1987). Briefcase Politics in India: The Congress Party and the Business Elite. *Asian Survey*, 27(12), 1278-1301.

gold collateral. This required airlifting the gold physically from India to the UK, which allowed India to critically recover its foreign reserves and get out of its economic slump.¹⁴

Early Economic Reforms

In mid-1991, the Indian government introduced urgent measures to tackle a severe economic crisis. Foreign exchange reserves had fallen below one billion US dollars, barely enough to cover two weeks of imports, and the balance of payments was under significant pressure. On 21 June 1991, Prime Minister P V Narasimha Rao formed the new government and appointed Dr Manmohan Singh as Finance Minister. Soon after taking charge, the government has restricted imports of non-essential goods and tightened banking and credit controls. At the same time, discussions have been opened with the International Monetary Fund and the World Bank for possible financial assistance. These measures, undertaken in June and early July 1991, reflect the scale of the crisis and the urgency to stabilise the economy.¹⁵

The Rupee Devaluation

On 1 and 3 July 1991, the Indian government devalued the rupee in two stages. The first stage reduced its value against major foreign currencies by around 9 per cent, followed by a second reduction of about 9 to 11 per cent. The decision was made after discussions with the International Monetary Fund (IMF), which had been monitoring India's balance of payments situation closely and was involved in providing

guidance for stabilisation. The devaluation coincided with restrictions on the non-essential imports, tighter banking and credit controls and measures to control government spending. At the time, India's foreign exchange reserves were nearly exhausted, enough to cover only about two weeks of essential imports. The devaluation was announced to markets, domestically and internationally and implemented gradually to avoid disruption. The adjustments aimed to influence trade flows by making exports cheaper and imports expensive, showing India's commitment to international institutions such as the IMF.¹⁶

The PM's Address to the Nation on 9 July 1991

On 9 July 1991, Prime Minister P. V. Narasimha Rao addressed the nation regarding India's critical economic situation. He explained that foreign exchange reserves have fallen sharply, worsening the balance of payments crisis and outlined urgent government measures that are restricting imports of non-essential goods, adjusting the rupee's value, tightening financial controls, and promoting exports of garments, leather, gems, jewellery and agricultural products to earn foreign exchange for essential imports. He also highlighted reducing excessive controls, cutting the non-essential expenditure and ensuring concessions reached the poor, while also aiming to improve productivity, employment, infrastructure and maintain price stability for essential commodities.¹⁷

¹⁴ Shankar Aiyar, V. (1991, July 8). Secret sale of gold by RBI again. Indian Express.

<https://www.newindianexpress.com/opinions/columns/shankkar-aiyar/2016/Jul/10/wholesale-politics-retail-reforms-define-post-1991-india-879142.html>

¹⁵ Cerra, Valerie & Saxena, Sweta Chaman. "What Caused the 1991 Currency Crisis in India?" IMF Staff Papers, Vol. 49, No. 3, 2002, pp. 395-425. <https://www.imf.org/external/pubs/ft/staffp/2002/03/pdf/cerra.pdf>

¹⁶ Devika Johri & Mark Miller, *Devaluation of the Rupee: Tale of Two Years, 1966 and 1991*, CCS Working Paper No. 28. https://old.ccs.in/internship_papers/2002/28.pdf

¹⁷ P.V. Narasimha Rao, *PM P.V. Narasimha Rao's July 9, 1991 Address: A Bold Step Toward Economic Revival*, The 1991 Project, August 2023. https://the1991project.com/sites/default/files/2023-08/1991_%20PM%20P.V.N.%20Rao%20Speech.pdf

INTERNATIONAL FACTORS

The Washington Consensus

The Washington Consensus refers to a set of economic policy prescriptions that were considered while giving aid to developing and underdeveloped countries in the 1980s and 1990s by Washington D.C.-based organisations like the International Monetary Fund, World Bank and the United States Department of the Treasury. These policies governed the aid offered to crisis-hit countries like India and required trade liberalisation from the country requesting aid. The Washington Consensus has been criticised for forcing vulnerable countries to open up to and exploit foreign companies with high levels of capital.

Turmoil in the Subcontinent

India, and by extension, its economy, was adversely affected by the issues surrounding its neighbours. The continuous wars with Pakistan, along with the Bangladesh Liberation War, led to the depletion of resources, leading to multiple aid requests in the 1950s & 1960s. Moreover, meddling in Sri Lanka's civil war directly led to the assassination of India's premier, Rajiv Gandhi.

INTERNATIONAL CASE STUDIES

United Kingdom's Sterling Crisis (1976)

The United Kingdom's Sterling Crisis took place in 1976 when the minority Labour government was forced to borrow 3.9 billion pounds from the International Monetary Fund (IMF) to stabilise the pound. The crisis began with a sharp fall in the value of sterling, caused by rising prices, slow economic growth, and a loss of confidence in international markets. Britain's economy was already facing serious problems such as high

unemployment, a growing balance of payments deficit, and large amounts of government borrowing to meet its expenses. As the country's reserves of foreign currency declined and pressure on the pound increased, the government found itself with very few choices left to protect its currency. To deal with such a situation, the IMF stepped in and agreed to provide one of the biggest loans in its history, worth 3.9 billion pounds. However, this loan came with strict conditions. The British government was asked to cut down its public spending, keep much tighter control over its finances, and reduce borrowing.

These steps were not easy to accept, as they created arguments within Parliament and caused political difficulties for the Labour Party. Even though these measures were unpopular and debatable, they were put into place so that Britain could receive the loan and avoid a complete collapse of the pound. The Sterling Crisis became one of the most serious financial struggles faced by the United Kingdom during the 1970s.¹⁸

Mexico's Debt Crash (1982)

Mexico's Debt Crisis eventuated in 1982 when the country announced that it could no longer pay back its huge foreign debts. During the late 1970s, Mexico borrowed heavily from international banks, expecting that high oil prices would allow it to repay easily. However, when oil prices fell sharply and interest rates in the United States went up, Mexico's debt grew exponentially, rising from less than 30 billion dollars to more than 75 billion dollars by 1981. The government almost ran out of foreign currency reserves and was left with only enough money to pay for a few weeks of imports. Confidence in Mexico's economy dropped, and a large amount of money left the

¹⁸ "An Exchange Rate History of the United Kingdom 1945-1992" — chapter "The 1976 IMF Crisis" by Alain Naef (Cambridge) <https://www.cambridge.org/core/books/an-exchange-rate-history-of-the-united-kingdom/1976-imf-crisis/2AFAE70373E89713B71635DD02E236C2>

country, leading it to a major financial crisis. In August 1982, the Mexican government admitted that it could not meet its repayment schedule, and this created a shock across international markets that pushed Mexico to ask the International Monetary Fund (IMF) for help. The IMF approved a loan worth about 4 billion dollars, one of the biggest loans it had ever given at that time. In return, Mexico was required to reduce government spending, bring borrowing under control, and open up its economy to trade. These measures were punishing for the people, but they were introduced to secure the funds and stabilise the economy. The 1982 crisis became one of the most difficult economic periods in Mexico's modern history.¹⁹

Philippines' Financial Setback (1969)

The Balance-of-Payments Crisis of 1969 in the Philippines took place during the presidency of Ferdinand Marcos, who was seeking re-election. In order to strengthen his chances, Marcos launched several large infrastructure projects worth nearly 50 million U.S. dollars. These projects created short-term growth and helped him gain political support, but they also added a heavy burden on the government's finances and quickly drained foreign reserves. By the end of 1969, the Philippines was facing a serious deficit, declining investor confidence, and worsening balance-of-payments problems. With very few options available, the government turned to the International Monetary Fund (IMF) for help.

The IMF approved a stabilisation plan but attached strict conditions to its assistance. These conditions included cutting government spending, devaluing the peso to encourage exports, and shifting economic policy away from import substitution toward export-oriented industrialisation. Although these measures were put into place, they caused economic hardship

and triggered widespread social unrest. By early 1970, protests erupted across the country, led especially by students, in what became known as the First Quarter Storm. The 1969 crisis became one of the first major economic and political challenges of Marcos's rule, exposing the country's financial weakness and deepening tensions in Philippine society.²⁰

FACTORS LEADING TO THE BALANCE OF PAYMENTS CRISIS

International Factors

Overreliance on Foreign Imports

Pre-industrialisation, India was heavily dependent on imports. Governed by the Washington Consensus, and countries such as France refusing to lend a helping hand without a commercial deal, India increased its deficit, making the Balance of Payments crisis inevitable.

Crumbling of the USSR

By the beginning of 1991, India-USSR relations had begun to decline. The Iron Curtain had begun to unravel across Europe, and the Soviet Union was dismantling before the global stage. The Soviet Union was India's largest trading partner until 1991, with bilateral trade of over \$5 billion per year. But with the change in policy and governance, the USSR was unable to assist India during its time of need.

Gulf War and Oil Crisis

India depended heavily on the crude oil supplied by Iraq and Kuwait, which were at war. The country did not have enough financial reserves to pay for 3 weeks' worth of supplies, which was yet another situation for the Chandrasekhar government to solve.

¹⁹ *The 1982 Mexican Debt Negotiations: Response to a Financial Crisis* — Roger S. Leeds & Gale Thompson (1987).
<https://www.elibrary.imf.org/display/book/9781557753120/cho6.xml?>

²⁰ *The Philippine Economy: An Analysis of the Economic Crisis* by A. Kintanar (1985)

Domestic Factors

Lack of Development of Industrial Productive Capacity

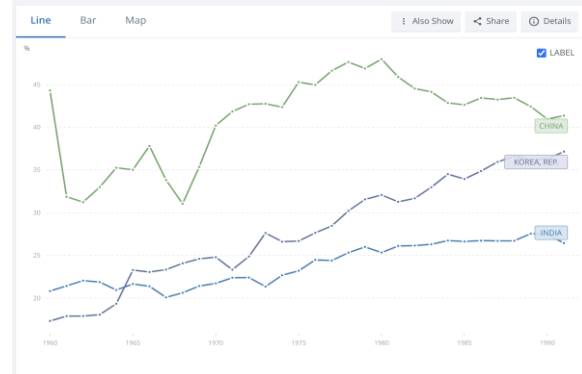
The journey of converting India from an agrarian economy to an industrial one post-independence was one filled with many challenges. The first three 5 Year Plans, the Green Revolution of the 1960s and the modernisation of the economy in the 1980s were all instrumental in India's industrial development. These steps took India's Industrial Sector's contribution to the GDP from 11.8% in 1951 to 27.5% in 1990. While an impressive increase, this was still less than other developing economies like China (41%) and the Republic of Korea (36.3%). This industrial underdevelopment was consistent with India's trade statistics in 1990, which showed the disparity between Industrial and Raw Material exports and imports.

In 1990, India's total value of imports of Raw Materials stood at 7.8 billion USD, while its exports were 2.8 billion USD in comparison. The same figures for Capital Goods, a key industrial metric, stood at 4.3 billion USD and 1.2 billion USD for imports and exports, respectively. This lack of domestic industrial prowess contributed to India's reliance on exports, which exacerbated the Balance of Payments Crisis.²¹

Industry (including construction), value added (% of GDP) - India, China, Korea, Rep.

Country official statistics, National Statistical Organizations and/or Central Banks; National Accounts data files, Organisation for Economic Co-operation and Development (OECD); Staff estimates, World Bank (WB)

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Comparison of Industrial Capacity
Source: World Bank

Corruption of Government Employees

During the 'License Raj' period, businesses required permits from the Government to operate. This led to a concentration of administrative power in the hands of Government Officials, and led to corruption through bribery. A number of initiatives, like the Prevention of Corruption Act, 1988, have been taken to combat Government corruption, but it still remains a pressing issue constraining the Indian Economy.²²

Lack of a Business-Friendly Environment

The concentration of power in the Government Employees' hands and the high level of state involvement in the economy hindered private investment. The problems arising from the 'License Raj' have also affected small businesses disproportionately, as larger corporations are better suited to handle the bureaucratic requirements of running a private company. This had contributed to the formation of an anti-business environment in India, where investors found it difficult to navigate through the

²¹ World Bank. *India Trade Summary*. WITS.

<https://wits.worldbank.org/CountryProfile/en/Country/IND/Year/1990/SummaryText>

²² Indiacode. Prevention of Corruption Act, 1988. (1988, September 9).

<https://www.indiacode.nic.in/bitstream/123456789/1558/1/A1988-49.pdf>

prerequisites of starting and running private projects.²³

Sky-Rocketing External Debt

During the second half of the 1980s, India's external debt grew rapidly and became one of the major strains on the balance of payments. The total external debt stock more than tripled between 1980 and 1991, rising from around USD 20 billion to nearly USD 70 billion. This sharp increase came largely from borrowing abroad to finance high fiscal deficits and the widening current account gap. The composition of debt also shifted in a way that created more pressure, and by 1990–91, India was increasingly dependent on short-term credit, commercial borrowings and deposits from Non-Resident Indians. These were costly, and they had to be serviced quickly. As a result, the debt service payments grew sharply. The debt service ratio, which had been about 10% in 1980, rose to over 30% by 1990. The share of external debt in the economy also grew. The debt-to-GDP ratio increased from around 17% in 1980 to more than 28% by 1990. This coincided with a long period of rising imports of oil and capital goods, while export growth failed to keep up. External borrowing was used to cover this gap, which steadily increased India's vulnerability. Nearly 40% of the debt consisted of commercial loans and NRI deposits, both of which were highly sensitive to changes in sentiment. This pushed the country further into a balance of payments crisis.²⁴

PARTY STANCES

Indian National Congress

The Indian National Congress's stance on India's economic situation is one which aims to make the economy efficient. The INC has proposed a thousand-day plan to promote the private sector's position in the Indian economy. The party's 1991 election manifesto vows to manage budget accounts responsibly and bring about fiscal stability through controlled economic reform.

"Try to decrease the deficit in the budgetary system.

The Congress will restore fiscal balance.

The Congress Government in the First 1000 days - oversees the gradual withdrawal of the public sector from areas where the private and joint sectors have developed capabilities." - INC Election Manifesto, 1991.²⁵

Bharatiya Janata Party

The Bharatiya Janata Party's stance on India's economic troubles is one that is against the bureaucracy, and aims to boost the productivity and efficiency of the economy. This is reflected in their stance on opening up parts of the public sector to private investment.

"Make the Public Sector productive and profitable, invite equity participation in some of the public sector units with adequate safeguards." - BJP Election Manifesto, 1991.²⁶

Janata Dal

The Janata Dal has supported the tactic of fiscal caution and has used budget cuts to attempt to reduce fiscal deficits. However, the government

²³ Kochanek, S. A. (1987). Briefcase Politics in India: The Congress Party and the Business Elite. *Asian Survey*, 27(12), 1278–1301.

²⁴ Reserve Bank of India, *Report on Currency and Finance 1990–91* (RBI annual/periodic reports, 1991).

²⁵ *Indian National Congress (I). Election Manifesto : general election, All India Congress Committee (I)*. (1991, April)

²⁶ Bharatiya Janata Party, *BJP Election Manifesto 1991: A Vision for National Unity and Economic Revival*, BJP e-Library, 1991. <https://library.bjp.org/jspui/bitstream/123456789/239/1/BJP%20ELECTION%20MANIFESTO%201991.pdf>

chose to focus on social justice, including implementing the recommendations of the controversial Mandal Commission. The political upheaval stemming from this decision stalled any economic recovery the Janata Dal had planned for the country and plagued the national coffers.²⁷

Communist Party of India (Marxist)

CPI(M) opposed the liberalisation measures introduced under Rajiv Gandhi in the mid-1980s. The party has since emphasised that dismantling state controls, promoting imports and encouraging foreign capital would damage India's self-reliance and push the economy into dependency. CPI(M) has defended the public sector and protectionist policies, criticising liberalisation as favouring big capital while harming workers and small producers.

"The Left—notably the CPI(M) -accused the government of surrendering to Western interests and betraying Nehru's model of self-reliance." - IDS Bulletin, 1987

CONCLUSION

India's balance of payments crisis of 1991 displays errors in decades of economic policies and has revealed the urgent need for reforms. Domestic policies like Nehruvian socialism, the Licence Raj, the MRTP Act of 1969 and weaknesses noted by the Dutt Committee slowed growth, while events like the Gulf War and USSR collapse added further issues. Several political scandals, including the Bofors case, the dissolution of the VP Singh Ministry and global pressures under the Washington Consensus, stressed India's foreign reserves. Early economic reforms initiated by Rajiv Gandhi, such as relaxation of the MRTP Act and the new computer policy, attempted to improve the situation. However, the rupee devaluation and the empty foreign reserves once again highlighted the need for better systemic reforms, as later spoken about in the Prime Minister's address to the nation.

²⁷ Muralidharan, S. (1990). Mandal, Mandir aur masjid: "Hindu" communalism and the crisis of the State. *Social Scientist*, 18(10), 27.

Agenda 2: Deliberating On Institutional Responses To Rising Insurgencies

AGENDA OVERVIEW

Since independence, India has faced multiple threats to its sovereignty. Some have been external attacks during wars with neighbours like Pakistan and China. However, several of these security crises faced by the country have been due to the insurgent groups operating to destabilise the central government. In 1991, India has been undergoing significant turmoil, partially due to a fragile government. In the wake of Rajiv Gandhi's assassination in May 1991, orchestrated by an insurgent group, India's Parliament must assemble to debate how to quell this threat to India's democracy and sovereignty.

BACKGROUND

Political Disputes in a Young India (1942-67)

Early Independence Era

In 1942, Britain was in the midst of the Second World War. The Allies were in urgent need of more troops in their fight against fascism and Nazism. As the demand for self-rule intensified in India, the Cripps Mission was dispatched in March 1942, led by the then-Leader of the House of Commons, Stafford Cripps. The Mission promised Indian self-rule, but only after the end of the War. This condition led to public resentment against the Mission, with freedom fighter Mohandas Karamchand Gandhi calling it 'a post-dated cheque drawn on a failing bank'.²⁸

The Muslim League called for the formation of a separate Muslim-majority state called Pakistan, a provision that the Cripps Mission did not account for.

The Calcutta Riots on 16 August 1946 proved to be a pivotal point in India's independence struggle. Also known as the 'Direct Action Day' or the 'Great Calcutta Killings', the riots were the result of the Muslim League's decision to take 'direct action' to demand the creation of a separate homeland for Muslims. The decision evoked an immediate reaction from the people of Kolkata, and was one of the causes that led to extensive communal disturbances in Naokhali in East Bengal, Bihar and the North West Frontier Province, and Punjab.

The Viceroy of India, Lord Mountbatten, was tasked with resolving the conflict in India, which had become a liability to the British. On 4 June 1947, Mountbatten announced in a press conference that the transfer of power was to take place immediately, i.e., on 15 August 1947. Y. Krishan for *History* wrote, "Mountbatten's haste was due to his wish to pressure India to join the Commonwealth, using the threat of instability to coerce Congressmen to accept dominion status." The Mountbatten Plan had provisions for the partition of British India into the dominions of India and Pakistan. In June 1947, Britain appointed Sir Cyril Radcliffe to demarcate the line between the countries. The Radcliffe Line, as it was called, became a major point of contention in South Asian politics. The Plan also granted considerable autonomy to the Princely States, giving them the option to join the Dominion of India, the Dominion of Pakistan or remain independent.²⁹

The ruler of Kashmir, Maharaja Hari Singh, was the Hindu king of a Muslim-majority population. He disliked the idea of becoming a part of India, which was being democratised. However, he was

²⁸ Pandey, B. N. (1980). R. J. Moore: Churchill, Cripps, and India 1939–1945. X, 152 pp., front., Oxford: Oxford University Press, 1979. Bulletin of the School of Oriental and African Studies, 43(3), 615–615.
doi:10.1017/S0041977X00137784

²⁹ Krishan, Y. (1983). Mountbatten and the Partition of India. *History*, 68(222), 22–38.

also opposed to becoming a part of Pakistan, which was Muslim. He instead opted to remain independent. On 24 August 1947, the Muslim League's mouthpiece *Dawn* warned of the "gravest possible trouble" if Maharaja Singh did not accede to Pakistan. Eventually, Kashmir fell victim to a tribal invasion, one that the state's military could not manage on its own. Hari Singh signed the Instrument of Accession to India, after which Nehru sent the Indian government to push the tribals out of Kashmir.³⁰ This Instrument of Accession has been the subject of multiple controversies and serves as the primary cause of the insurgency crisis in Kashmir.

Naxalbari Uprising

West Bengal of 1967 was a state with considerable communist influence.³¹ The United Front, a coalition of left parties led by the Bangla Congress and the Communist Party of India (Marxist) (CPI-M), had been sworn into power in March 1967. Apart from this electoral victory, many communist groups had been working in the state to organise peasant cells to fight exploitation at the hands of landlords. On 3 March 1967, in the Naxalbari district, one such peasant group, consisting of about 150 peasants, armed with bows and spears, took around 11000 kg of paddy and attempted to seize land. Over the course of the next four months, these peasant committees would expand across the Siliguri corridor, and their attempts at seizing land from Jotedars (big landlords) would lead to violent clashes between the peasants and the landlord gentry.

By May 1967, the police were mobilised to deal with the peasant uprising, and on 25 May 1967,

the inspector of Jharugaon village was killed by peasant committee members. This led to major retaliation by the police, when they opened fire and killed 9 women and 1 child. The peasant clashes with the landlords and the police in 1967 would collectively be known as the Naxalbari Uprising, and is seen as the origin of the Naxalite Insurgent Movement. This event caused a split in the CPI-M, with the members supporting the uprising being expelled, and eventually forming the All India Coordination Committee of Communist Revolutionaries in November 1967, which evolved into the Communist Party of India (Marxist-Leninist) (CPI-ML) in 1969. The CPI-ML served as the major organiser of the Naxalite Insurgency until its dissolution in 1972.^{32,33}

Tamil Eelam & the Sinhala-Only Act

In 1956, Prime Minister S. W. R. D. Bandaranaike's government in Ceylon introduced the Official Language Act No. 33 of 1956, widely called the Sinhala Only Act. It replaced English with Sinhala as the sole official language of government, administration and courts. The act fulfilled a major campaign promise made by Bandaranaike and his party in the 1956 election. Tamil was not given equal status under this law, and many Tamil speakers found that public services, government correspondence and legal proceedings were now conducted in a language not used or understood by any of them. Soon after the law's passage, protests and riots broke out among Tamils across different regions of Ceylon. In an attempt to ease tensions, the government passed the Tamil Language (Special Provisions) Act in 1958. This new law allowed Tamil to be used in certain administrative functions, in schools and as a medium of

³⁰ Anand, A. S. (1964). Kashmir's Accession to India. *Journal of the Indian Law Institute*, 6(1), 69–86.

³¹ Jawaid, S. (1979). The Naxalite Movement in India: origin and failure of the Maoist revolutionary strategy in West Bengal, 1967-1971.

³² Moraes, D. (1970, November 8). *The Naxalites, whose extremism knows no extremes, are Indian revolutionaries with a Chinese accent* (published 1970). *The New York Times*. <https://www.nytimes.com/1970/11/08/archives/the-naxalites-whose-extremism-knows-no-extremes-are-indian-indian.html>

³³ Mohit Sen. (1971). The Naxalites and Naxalism. *Economic and Political Weekly*, 6(3/5), 195–198.

examination and public service entry in the Tamil-speaking Northern and Eastern provinces. However, the implementation of those provisions was uneven and delayed. The Sinhala Only Act and its aftermath created communal issues among the people. Tamil parties demanded federal or regional autonomy, arguing that their language and culture were being marginalised. There were internal migrations, riots and in 1958, a state of emergency was declared. These events laid some of the foundation for the later rise of Tamil militancy and the demand for a separate Tamil homeland called the LTTE (Liberation Tigers of Tamil Eelam).³⁴

Assamese Domination in the Northeast

Before 1963, the state of Assam covered over 90% of the total land area of Northeast India.³⁵ This state included the present-day regions of Arunachal Pradesh, Nagaland, Mizoram and Meghalaya. The rest of the region, i.e. Manipur and Tripura, were given the status of Union Territories, and hence did not enjoy the same freedom that a state did. Moreover, the Assamese people dominated the demography in a region that was already overlooked by 'mainland' Indians. The minority groups in this region, specifically the Nagas & the Mizos, felt the need to separate from the state and demand autonomous regions, such as the demand for Chakmaistan or even a separate State altogether.

UNDERSTANDING THE CAUSES OF INSURGENCIES

Ignorance from the Centre

One of the most significant reasons for several insurgencies to arise was the central governmental neglect felt by the people of marginalised regions. They have often reported weak administrative attention, delayed development spending and poor representation in the national decision-making process. They have felt undervalued and politically distant from New Delhi, and slow or ad hoc policy responses have contributed to an increase in political mobilisation in the country. The Naxalite movement in Bihar, parts of West Bengal and insurgencies in North-East India reflect these issues, where alienation of regions from the development of the country has given ammo to separatist militant organisations.³⁶

Cultural Discrimination

The language, religion, caste and ethnic identity were put forth repeatedly as triggers of mobilisation. Groups that felt their language or culture were undervalued reported exclusion from public life and state jobs. There were many instances of inequality and discriminatory public spending, which generated strong perceptions that the state favoured other communities. Injustice, when it comes to culture, is combined with economic deprivation of these communities, and political parties have neglected to strengthen demands for autonomy or separation in several regions of India. Sikh unrest in Punjab and the Naga Insurgency were triggered by cultural discrimination and disregard for cultural identity.

³⁴ "Official Language Act (No. 33 of 1956) — 'Sinhala Only'," *Encyclopaedia Britannica* (Sinhala-Only Bill).

<https://www.britannica.com/event/Sinhala-Only-Bill>

³⁵ Singh, B. P. (1987). North-East India: Demography, Culture and Identity Crisis. *Modern Asian Studies*, 21(2), 257–282.

³⁶ Chaube, S. K., Munsri, S., & Guha, A. (1975). Regional Development and the National Question in North-East India. *Social Scientist*, 4(1), 40–66.

Lack of Representation through Peaceful Political Channels

The lack of representation of populations through peaceful political channels like elections and local self-governments can give rise to disillusionment with electoralism and democratic institutions. This disillusionment can be taken advantage of by insurgent groups to recruit youth activists who feel that their voices are not being heard through democratic means. This was observed in the aftermath of the 1987 Kashmir elections, widely perceived to be rigged against the Muslim United Front (MUF), when several young candidates and political workers who were frustrated with the outcome and process of the elections would go on to join militant organisations and even cross the line of control.³⁷

FACTORS LEADING TO RISING INSURGENCIES IN INDIA (1967-87)

The Consequences of Underdevelopment in the Northeast

The Northeast has historically presented administrative and governance-related challenges for the central government. The harsh geography of the region, from its impenetrable forests to its extremely wet and humid climate, has made it difficult to build any infrastructure in the area. After independence, developing countries like India naturally prioritised investment in areas that already had an infrastructure for growth, a situation inherited from the colonial period. Regional imbalance is thus partly a function of the allocation of limited resources and partly a legacy of colonialism.³⁸ Thus, as the Northeast was economically

backward compared to the rest of India, it was reliant on funds from the Central Government.

The Relationship Between Kashmir and New Delhi

There have been several instances wherein the relationship between Kashmir and the Central Government was marked by a difference of interests. As a frontier region, India sought to secure the area, but did not find much success in developing the skills and quality of life of the people living there. As a result, there was much demand for a plebiscite to determine the future of Kashmir. The Plebiscite Front was led by Sheikh Abdullah. Following India's decisive win in the 1971 Indo-Pakistan War (which also saw the separation of East Pakistan to form Bangladesh), Indira Gandhi had a greater say in the negotiations for the same. The 1975 Indira-Abdullah Accord saw the return of competitive politics to Kashmir and also put to rest long-standing issues regarding the finality of Jammu and Kashmir's accession to India.³⁹ However, it did not mention any plebiscite and was seen as Abdullah reneging.



Indira Gandhi & Sheikh Abdullah
Source: India Today

India & Sri Lanka

India and Sri Lanka's bilateral relations post-independence were largely cordial, and both

³⁷ Crenshaw, M. (1981). The Causes of Terrorism. *Comparative Politics*, 13(4), 379–399.

³⁸ Chaube, S. K., Munsu, S., & Guha, A. (1975). Regional Development and the National Question in North-East India. *Social Scientist*, 4(1), 40–66.

³⁹ Lockwood, D. E. (1975). Kashmir: Sheikh Abdullah's Reinstatement. *The World Today*, 31(6), 249–256.

countries strived for unity. However, the pressing issue of Tamil identity has remained a point of contention between the two countries. India's support to Tamil separatists at the beginning of the Sri Lankan Civil War led to relations souring between the two countries, which eventually culminated in full-fledged military intervention through the Indian Peace Keeping Forces being deployed in Sri Lanka to help ease the Civil War.⁴⁰ India-Sri Lanka's relations have had a complex nature, with Sri Lanka being one of the rare instances where India did not adhere to its policy of non-interference in foreign matters.

The Red Corridor

The issue of land reforms was a pressing matter for a newly independent India, and would also be one of the reasons for its first armed uprising (Telangana Uprising, 1946-51). A number of steps were taken on the state level to answer these calls for land redistribution. The Uttar Pradesh Zamindari Abolition and Land Reforms (Amendment) Act, 1950, was a notable piece of legislation that transferred all rights and titles of zamindars, which were abolished and transferred to the state government. Acts like the Assam (Temporarily Settled Areas) Tenancy Act, 1971 and Operation Barga in West Bengal were initiatives taken to protect the interests of tenant farmers. Land ceiling laws applying a legal maximum limit of land holdings, like the Kerala Land Reforms Act, 1963, were also aimed to make land distribution fairer.

Despite this, the land distribution in rural India still remained unequal in parts, which led to discontent within the peasant class. An example of such discontent leading to a violent outburst is the Naxalbari Uprising. After the uprising, similar peasant organisations would form across the country, who demanded land reform and

peasant self-determination. Clashes between the local police and these organisations would lead to the formation of a 'Red Corridor', which refers to the districts affected by Naxalite Insurgents. This Corridor stretches from Siliguri in West Bengal to Wayanad in Kerala, including sections of central and eastern India like parts of Madhya Pradesh, Orissa, Andhra Pradesh and Tamil Nadu. This region is marked by frequent violence between police forces and insurgents, leading to difficulties in the development of the region.⁴¹

Emergency

On 25 June 1975, Prime Minister Indira Gandhi declared a national Emergency across India under Article 352, citing an 'internal disturbance'. Civil liberties were suspended, several opposition leaders were arrested, and press freedom was heavily curtailed through censorship. The government also introduced controversial social programs, including mass sterilisation campaigns and forced urban clearances, while passing constitutional amendments that extended the term of the Lok Sabha, reduced judicial powers, and strengthened executive authority, effectively increasing the control of the government over the country. All of these measures lasted until March 1977, when Indira Gandhi called general elections, resulting in her party's defeat and the Janata Party coming to power later that year.⁴²

Sikh-Nirankari Clash

On 13 April 1978, during the Baisakhi festival in Amritsar, a violent clash broke out between orthodox Sikh groups, including the Damdami Taksal and the Sant Nirankari Mission, who were holding a convention. The confrontation, worsened by disagreements over Sikh teachings, led to the deaths of 16 people and injuries to

⁴⁰ Rupesinghe, K. (1988). Ethnic Conflicts in South Asia: The Case of Sri Lanka and the Indian Peace-Keeping Force (IPKF). *Journal of Peace Research*, 25(4), 337–350.

⁴¹ DHAR, P. N. (1987). The Political Economy of Development in India. *Indian Economic Review*, 22(1), 1–18.

⁴² Encyclopaedia Britannica, *The Emergency in India: A 21-Month Period of Authoritarian Rule*, September 5, 2025. <https://www.britannica.com/event/the-Emergency-India>

around 150 others. The incident led to deepened divisions within the Sikh community, strengthened radical movements, and contributed to the rise of militancy in Punjab during the 1980s, with leaders like Jarnail Singh Bhindranwale gaining influence.⁴³

Operation Blue Star & Indira Gandhi

In June 1984, Prime Minister Indira Gandhi ordered Operation Blue Star, a military action to remove Sikh militants led by Jarnail Singh Bhindranwale, who had taken shelter and fortified themselves inside the Golden Temple complex in Amritsar, an important shrine of the Sikhs. The operation started on 1 June and continued until 8 June, involving heavily armed troops, tanks, and artillery. They faced strong resistance from the militants, which led to several deaths among the militants, civilians, and army personnel. The fights caused severe damage to the Akal Takht, an important religious and cultural building inside the Golden Temple. The operation angered Sikhs across India and abroad, and contributed to the creation of deep resentment among the community.

On 31 October 1984, Indira Gandhi was assassinated by her Sikh bodyguards, Beant Singh and Satwant Singh, seemingly as an act of vengeance for the attack on the temple. Her assassination immediately triggered widespread anti-Sikh riots, particularly in Delhi, which resulted in thousands of deaths, looting, and destruction of property. The events of Operation Blue Star, Indira Gandhi's assassination, and the anti-Sikh riots together marked a chain of violent developments in 1984 that caused deaths, destruction and deep unrest across the country.⁴⁴

Political Turmoil in India (1987-91)

Electoral Controversies in Kashmir

The major players in the 1987 Jammu and Kashmir Parliamentary elections were the Jammu and Kashmir National Conference (JKNC), the Indian National Congress (INC) and the Muslim United Front (MUF). The election was marked by certain electoral irregularities and was widely perceived to have been marred by malpractice. The JKNC, led by the acting Chief Minister of the state, Farooq Abdullah, had formed an alliance with the INC, led by the acting Prime Minister, Rajiv Gandhi. This helped boost their credibility and popularity in the election; however, against them stood the MUF, which was an alliance of previously non-electoral political organisations like the Jamaat E Islaami and the Jammu and Kashmir Liberation Front (JKLF), who had formed a collective in order to gain electoral legitimacy and attain political power. The election that followed was perceived to have involved electoral malpractice, with the MUF winning only 4 seats with 18.9% of the vote and the JKNC winning 40 seats with 32.98% of the vote. Claims of electoral malpractice were strengthened by reports of arrests of MUF political workers. India Today reported that "starting about two weeks before the election, 600 opposition workers were arrested in areas where the MUF, independents, and People's Conference (PC) candidates were showing strength". The 1987 election would be a contributor for militancy in the Kashmir Valley as a lot of the former MUF members would go on to become part of insurgent organisations.⁴⁵

⁴³ The Tribune India, *Sikh-Nirankari Conflict Peaked with 1978 Clash*, November 19, 2018.

<https://www.tribuneindia.com/news/archive/punjab/sikh-nirankari-conflict-peaked-with-1978-clash-685446/>

⁴⁴ Encyclopaedia Britannica, *Operation Blue Star: The Military Operation at the Golden Temple*.

<https://www.britannica.com/topic/Operation-Blue-Star>

⁴⁵ Wirsing, R. G. (1988). THE SIACHEN GLACIER DISPUTE II: The Domestic Political Dimension. *Strategic Studies*, 11(3), 83–97.

Kidnapping of the Home Minister's Daughter

On December 2, 1989, the Janata Dal won the Parliamentary elections in India, and VP Singh was sworn in as India's 7th Prime Minister. The VP Singh Ministry faced a number of crises, the first of which would be the kidnapping of Rubaiya Sayeed, the daughter of the Home Minister, Mufti Mohammed Sayeed, at the hands of the Kashmiri Militant Group JKLF (Jammu Kashmir Liberation Front). In order to free Rubaiya, the Government agreed to release five militants of the JKLF. This led to an increase in the popularity of JKLF leaders like Yasin Malik, one of the kidnappers, and helped instill a sense of underconfidence in the ability of the young Government to handle insurgent issues.⁴⁶ VP Singh's Ministry also faced controversies surrounding the Mandal Commission, an initiative that would polarise Upper Caste populations and divide the Janata Dal vote.⁴⁷

The Greyhounds

By the late 1980s, the state of Andhra Pradesh had seen several incidents related to the Naxalite Insurgency. The state had a history of militant peasant organisations in the form of the Telangana Uprising of 1946-51. The formation of the People's War Group (PWG) in the state in 1980 had also led to violent incidents between peasant Naxals and the police and landlords. These clashes led to deaths of landlords, insurgents and police personnel alike, with one major casualty being the killing of a sub-inspector of police in Warangal district, United Andhra Pradesh.

Thus, in early 1989, the Andhra Pradesh Police under the Telugu Desam Party, established the

'Greyhounds' unit with the specific task of countering the Naxals. This unit's focus was on younger police officers, who would act anonymously in ambushes and encounters against the insurgents. The training model for the Greyhounds was formulated by the Indian Police Service officer K. S. Vyas.⁴⁸

Indian Military Presence in Sri Lanka

India's stance on the Sri Lankan Civil War saw a few changes over its 8-year timeline. Following the outbreak of the anti-Tamil Black July riots of 1983, India decided to offer sanctuary to Tamil Separatist leaders from Sri Lanka, while trying to mediate the conflict between the Government and the separatists. India also allowed the operation of Tamil guerrilla training camps in Tamil Nadu. This stance of soft support to the Tamil insurgents shifted course after the deployment of the Indian Peace Keeping Forces (IPKF) in Sri Lanka.

The deployment came in the aftermath of the July 1987 Accord signed between the Governments of the two nations, which called for "cessation of hostilities, the surrender of arms held by Tamil militant groups, and the return of the Sri Lankan army to barracks." The Accord also emphasised that the government of India would "underwrite and guarantee provisions of the agreement and provide military assistance when requested by the Sri Lankan government."

The direct intervention under the leadership of Rajiv Gandhi had several consequences, as the IPKF, a section of the Indian Army, would find itself in combat with the Liberation Tigers of Tamil Eelam (LTTE), who were angered by the

⁴⁶ Crossette, B. (1989, December 15). *Kashmir Officials Under Attack For Yielding to Muslim Abductors*. The New York Times. <https://www.nytimes.com/1989/12/15/world/kashmir-officials-under-attack-for-yielding-to-muslim-abductors.html>

⁴⁷ Hazarika, S. (1990, October 18). *Hindu Fundamentalist Threatens India's Government Over Temple*. The New York Times. <https://www.nytimes.com/1990/10/18/world/hindu-fundamentalist-threatens-india-s-government-over-temple.html?scp=47&sq=%22v%20p%20singh%22&st=cse>

⁴⁸ Balagopal, K. (1990). Chenna Reddy's Spring. *Economic and Political Weekly*, 25(12), 591-595.

signing of the Accord. By the time of the battle for Jaffna (1987), 800 Indians were killed or wounded, and much of the LTTE leadership had melted away into the countryside. This damaged the morale of the IPKF, which also found itself surrounded in controversies, with accusations of sexual violence and civilian murder being levied on it.⁴⁹

The era of Indian Military Intervention in Sri Lanka ended after the Sri Lankan government's call for India to quit the island, as they entered into a secret deal with the LTTE that culminated in a ceasefire, and after Rajiv Gandhi's loss in the parliamentary elections, the new Indian Prime Minister VP Singh ordered the IPKF to leave Sri Lanka in March 1990. However, the effect of Indian involvement in the war did not end here, as the LTTE went on to carry out the assassination of Rajiv Gandhi on 21 May 1991.



The IPKF in Sri Lanka

Source: Surender Sangwan

The War in the Northeast and the Formation of Separatist Groups in Tripura

From the 1950s through the 1980s, the Northeast region of India saw multiple separatist insurgencies. In Nagaland, the Naga National Council began rejecting Indian authority soon

after 1947, engaging in non-cooperation, tax refusal and armed conflict, which led the Indian Army to intervene and Nagaland to become a full state by 1963. In Mizoram, failure of local relief during the Mautam famine (1959-60) led to the formation of the Mizo National Famine Front, which evolved into the Mizo National Front (MNF), declaring independence in 1966.

The MNF seized government offices, security posts, and endured harsh counter-insurgency, including airstrikes, until a peace draft was signed in 1986. Meanwhile, the state of Assam witnessed the rise of groups like ULFA in the late 1970s, demanding sovereignty and action against illegal immigration.⁵⁰

Within that larger insurgent landscape, Tripura had its own militant strain. Tribal people in Tripura felt alienated because of the large migration of Bengali settlers after the partition and after Bangladesh's creation. Loss of land, reduced political power and a neglect of development fed resentment there. In 1971, the Tripura Upajati Juba Samiti (TUJS) was formed, and in 1981, the Tripura National Volunteers (TNV) emerged, calling for autonomy. In March 1989, the National Liberation Front of Tripura (NLFT) was founded, asking for full independence and in July 1990, the All Tripura Tiger Force (ATTF) was formed by former TNV members, demanding the removal of post-migration settlers, restoration of tribal land rights under the Tripura Land Reform Act and better recognition of tribal culture. These Tripura groups carried out armed attacks, ambushes, raids, extortion and established bases often near the Bangladesh border.⁵¹

⁴⁹ V. R. Krishna Iyer. (1988). Tamil Tragedy in Sri Lanka and Contradictory Strategy by India: II. *Economic and Political Weekly*, 23(29), 1463–1465.

⁵⁰ C. Nunthara, Peace and Conflict in the 'Frontier' Areas of North-east India, *Asian Journal of Comparative Politics*.

⁵¹ The Hindu, How Tripura Overcame Insurgency.

<https://www.thehindu.com/opinion/lead/How-Tripura-overcame-insurgency/article13606760.ece>

The Assassination of Rajiv Gandhi

On 21 May 1991, former Prime Minister Rajiv Gandhi was in Sriperumbudur, Tamil Nadu, campaigning on behalf of the Congress for the 1991 General Elections. While appearing to offer a bouquet to Gandhi, 22-year-old Kalaivani Rajaratnam activated a suicide vest, instantly killing herself, Gandhi and 14 others. Rajaratnam was affiliated with the banned Sri Lankan organisation Liberation Tigers of Tamil Eelam (LTTE). Gandhi had been targeted for sending the Indian Peace Keeping Force to Sri Lanka, but the exact reasons are not known.

Immediately after the assassination, the Chandrashekhar government handed the case to the Criminal Bureau of Investigation (CBI), whose investigation is ongoing and not yet made public.

INTERNATIONAL FACTORS

Pakistan

The Pakistani forces captured and occupied a large part of North-Western Kashmir, a region known to India as 'Pakistan-Occupied Kashmir'. Pakistan believes that Kashmir is 'illegally occupied' by India, and demands a plebiscite in the region. The country has shown political support towards various militant and insurgent groups in India, but refutes India's allegations of arming them. The loss of East Pakistan (now Bangladesh) has also contributed to the disputes between the two countries.⁵²

China

India and China have had several conflicts post-independence, characterised by border disputes and the 1962 Indo-China War following the Chinese invasion of Tibet. China has had considerable influence on communist insurgencies in India, with a number of insurgent militant organisations modelling themselves after Mao Zedong's thought and taking the path of guerrilla warfare. The Communist Party of China also lent political support to the Naxalbari Uprising, writing favourably about the 'revolutionary peasants' in the November 1967 edition of the People's Daily, the newspaper of the Central Committee of the CPC.⁵³

Sri Lanka

The island country's fight against the LTTE and other Tamil factions inadvertently led to the assassination of Rajiv Gandhi. Moreover, during the ongoing Civil War in the country, thousands of Tamil refugees have entered India, sparking heated discussions in southern India, a difficult reality for the Central Government to navigate.⁵⁴

USSR

The USSR has been one of India's closest trading partners and geopolitical allies since its independence. The Soviet Union's diplomatic and military support to India, specifically during the 1971 Indo-Pak War, demonstrated the strong bilateral relations between the countries.⁵⁵ However, the USSR's role as the leading communist figure has also unintentionally inspired insurgent organisations like the CPI-ML

⁵² CIA reading room Kashmir: A Simmering Trouble Spot. Internet Archive. (1952, July 15).

<https://ia804606.us.archive.org/26/items/cia-readingroom-document-cia-rdp06t00412r000200030001-5/cia-rdp06t00412r000200030001-5.pdf>

⁵³ People's Daily. (1967, July 5). Spring Thunder over India.

<https://www.marxists.org/subject/china/documents/peoples-daily/1967/07/05.htm>

⁵⁴ Situation in Sri Lanka (29-aug-1990) : Rajya Sabha secretariat. Internet Archive. (1990, August 29).

https://archive.org/details/rsdebate.nic.in.250799/ID_155_29081990_14_p315_p378_18/page/n17/mode/2up

⁵⁵ Central Intelligence Agency. (1972). Indo-Soviet relations (Document No. CIA-RDP85T00875R001100130127-2).

<https://www.cia.gov/readingroom/docs/CIA-RDP85T00875R001100130127-2.pdf>

and the Kangleipak Communist Party to try and recreate a communist revolution in India by carrying out armed struggle against the state.

RELEVANT BILLS/ACTS

AFSPA, 1958

The Armed Forces (Special Powers) Act, 1958, is a Parliamentary Act that confers “special powers” upon members of the armed forces in “disturbed areas”. If the Governor of that State or the Administrator of that Union territory or the Central Government, in either case, believes that the whole or any part of such State or Union territory, as the case may be, is in such a disturbed or dangerous condition that the use of armed forces in aid of the civil power is necessary, the Governor of that State or the Administrator of that Union territory or the Central Government, as the case may be, may, by notification in the Official Gazette, declare the whole or such part of such State or Union territory to be a disturbed area. The Act allows army personnel to open fire “against any person who is acting in contravention of any law.” From 1958 to 1991, this Act was declared in Assam, Manipur, Punjab, Chandigarh and Jammu & Kashmir.⁵⁶

Unlawful Activities (Prevention) Act (UAPA), 1967

The Unlawful Activities (Prevention) Act, 1967, is an Act that creates legislation for the effective prevention and dealing with activities concerning terrorism. It specifically penalises partaking in unlawful activities that compromise India’s sovereignty and territorial integrity. Additionally,

the Act empowers the government to declare associations and groups as “terrorist” factions.⁵⁷

National Security Act, 1980

The National Security Act (NSA) was enacted in 1980 to give the government special powers for preventive detention to maintain public order and national security. The NSA has been used in insurgency-affected regions like Nagaland, Mizoram, Manipur, Assam, and Tripura, targeting groups such as the Naga National Council, Mizo National Front, ULFA, TNV, and ATTF. In Punjab and Delhi, it was applied during growing Sikh militancy after the 1978 Sikh-Nirankari clash and before Operation Blue Star. The Act provides a legal framework to detain suspected insurgents and prevent violent acts.⁵⁸

Terrorist and Disruptive Activities (Prevention) Act (TADA) –1985

The Terrorist and Disruptive Activities (Prevention) Act (TADA) is a piece of anti terrorism legislation that came into effect on 24 May 1985, under the premiership of Rajiv Gandhi. It was passed in an India shaken by the assassination of Indira Gandhi and was specifically established to curb Khalistani outfits. The Act gives law enforcement considerable powers, like detention of accused individuals for 1 year and allowing confessions made to police officers to be used in court, with the burden of evidence being put on the accused. Special Courts are set up exclusively to hear the cases and deliver judgements regarding the persons accused under this Act, and the trials could be held in camera with the identities of the witnesses kept hidden. The Act also allows for the police to use the property of the accused as evidence in court.⁵⁹

⁵⁶ DHAR, P. N. (1987). The Political Economy of Development in India. Indian Economic Review, 22(1), 1–18.

⁵⁷ Unlawful Activities (Prevention) Act (UAPA), 1967. (n.d.). <https://www.mha.gov.in/sites/default/files/A1967-37.pdf>

⁵⁸ The National Security Act, 1980. (n.d.-a). https://www.mha.gov.in/sites/default/files/2022-08/ISdivII_NSAAct1980_20122018%5B1%5D.pdf

⁵⁹ (The) Terrorist and Disruptive Activities (Prevention) Act, 1987. South Asia Terrorism Portal. (1987, September 3). <https://www.satp.org/satporgt/p/countries/india/document/actandordinances/TADA.HTM>

Constitution (Sixty-Eighth Amendment) Act, 1991

The Constitution (Sixty-Eighth Amendment) Act, 1991, is an amendment to Article 356 of the Constitution, which empowers the President to impose President's Rule in a state if constitutional machinery in the state is failing, or if the State Government fails to follow the directives laid by the Union Government. This amendment specifically modifies clause (4) of Article 356 by substituting the words "four years" with "five years" in the third provision, allowing the Proclamation to remain in force for a maximum of five years. The Act came into effect on March 12, 1991. The amendment was made keeping in mind the increasing unrest, specifically in the region of Punjab, allowing for the extension of the ongoing President's Rule in the state, helping in combating the Khalistani insurgents.⁶⁰

RELEVANT NON-STATE ACTORS

Naxalites

Communist Party of India (Marxist-Leninist) (CPI-ML)

The Communist Party of India (Marxist-Leninist) (CPI-ML) was a communist party formed by the All India Coordination Committee of Communist Revolutionaries (AICCCR). The CPI-ML was officially formed on 22 April 1967, during the Naxalbari Uprising, and its founding members were Charu Majumdar and Kanu Sanyal. The party denounced participation in electoral politics and believed that armed revolution was the path to a communist India. However, in 1972, Charu Majumdar would be arrested and would

die due to multiple diseases in police custody, which would exacerbate intra-party debates. The party would get fragmented and eventually split into various communist parties.⁶¹

People's War Group (PWG)

The People's War Group (PWG) or the Communist Party of India (Marxist-Leninist) People's War is a Naxalite Insurgent Group formed in Andhra Pradesh in 1980, founded by communist leader Kondapalli Seetharamaiah. The organisation was established after a split in the Central Organising Committee of the CPI-ML in 1976, with the breakaway faction joining with Tamil Nadu-based Naxal Insurgent groups. The state has a history of militant peasant-communist factions, which helped in the formation of the PWG, whose goal is to carry out a "protracted people's war", following in the footsteps of the Chinese leader Mao Zedong.⁶²

Khalistan Organisations

Khalistan Liberation Force (KLF)

The Khalistan Liberation Force (KLF) is an insurgent organisation based in Punjab, whose primary aim is to create the sovereign Sikh nation of Khalistan through armed struggle against the Indian Government. The KLF is responsible for numerous attacks during the 1980s, targeting the army, police personnel, government officials and civilians alike. The organisation has claimed credit for attacks that have killed hundreds of people, one of them being the murder of Senior Superintendent of Police Avinder Singh Brar and Senior Superintendent of Police KRS Gill on 14

⁶⁰ The constitution (sixty-eighth amendment) act, 1991 | National Portal of India. (n.d.-af). <https://www.india.gov.in/my-government/constitution-india/amendments/constitution-india-sixty-eighth-amendment-act-1991>

⁶¹ Mohit Sen. (1971). The Naxalites and Naxalism. *Economic and Political Weekly*, 6(3/5), 195–198.

⁶² People's War Group - left wing extremism, India, south asia terrorism portal. (n.d.-ad). <https://www.satp.org/satporgtp/countries/india/terroristoutfits/pwg.htm>

December 1987⁶³. The KLF also took responsibility for the murder of BJP Punjab Vice President, Khushi Ram Sharma, and the murder of Shiv Sena Punjab head Ramkat Jalota.⁶⁴

Bhindranwale Tiger Force of Khalistan (BTFK)

The Bhindranwale Tiger Force of Khalistan (BTFK) is a Sikh nationalist militant organisation that seeks to establish an independent Khalistan. Formed in 1984, the BTFK totalled 500 members at its peak and remained the strongest pro-Khalistan group in Tarn Taran Sahib, which was the epicentre of violence during the Punjab insurgency. The BTFK has claimed responsibility for numerous attacks on civilians and family members of their political opponents, and also for many attacks on CRPF bases and troops.^{65 66}

Kashmiri Nationalist Organisations

JKLF

The Jammu Kashmir Liberation Front (JKLF) began its journey as the militant wing of the Azad Kashmir Plebiscite Front or the Mahaz-i-Raishumari. Founded in 1965 by Gilgit-born Amanullah Khan in Birmingham, UK, the JKLF has used multiple exploitative methods and violent tactics to make its demands be heard. In the past, the JKLF has resorted to extortion and plane hijacking, among others.⁶⁷

Hizbul Mujahiddeen

Hizbul Mujahiddeen is a terrorist jihadist group based in Pakistan-occupied Kashmir that seeks to separate the state of Jammu & Kashmir from India and merge it with Pakistan. Established in 1989, Hizbul Mujahiddeen was immediately a major Kashmiri insurgent group. Their first major assassination was that of the Chairman of the All Jammu and Kashmir Awami Action Committee, Mirwaiz Moulvi Mohammad Farooq, in 1990. A fighting wing of the Jamaat-i-Islami, Hizbul Mujahiddeen, wants Kashmir to join Pakistan on grounds of religion, while the JKLF wants an independent Kashmir on grounds of ethnicity.⁶⁸

Tamil Nadu Liberation Army (LTTE)

The Liberation Tigers of Tamil Eelam (LTTE) were originally active in Sri Lanka, but their influence reached Tamil Nadu in India through support networks, fundraising and recruitment of Tamil refugees during the Sri Lankan civil conflict. By the 1980s, the LTTE maintained links with Indian Tamil organisations, aiming to gather resources and logistical support for their operations in Sri Lanka. In Tamil Nadu, the group was involved in propaganda, political mobilisation and smuggling of arms and funds across the Palk Strait. Indian security forces closely monitored LTTE activity to prevent a violent crisis, and local authorities occasionally detained the individuals

⁶³ Ninan, A. (1988, January 15). *Terrorists kill senior punjab IPS officers Avinder Singh Brar and K.R.S. Gill*. India Today.

<https://www.indiatoday.in/magazine/indiascope/story/19880115-terrorists-kill-senior-punjab-ips-officers-avinder-singh-brar-and-krs-gill-796879-1988-01-14>

⁶⁴ University of Michigan. (1987). *IDSA News Review on South Asia/Indian ocean*.

⁶⁵ Sandhu, K. (1991, June 30). *Being held under the shadow of the terrorists' gun, elections in Punjab may well backfire*. India Today. <https://www.indiatoday.in/magazine/nation/story/19910630-being-held-under-the-shadow-of-the-terrorists-gun-elections-in-punjab-may-well-backfire-814499-1991-06-29>

⁶⁶ Crossette, B. (1991). *Extremists in India Kill 80 on 2 Trains As Voting Nears End*. The New York Times.

<https://www.nytimes.com/1991/06/16/world/extremists-in-india-kill-80-on-2-trains-as-voting-nears-end.html>

⁶⁷ AIRCRAFT HIJACKING AND INTERNATIONAL LAW. By Dr. S. K. Agrawala. Dobbs Ferry, N. Y.: Oceana Publications, Inc., and India: N. M. Tripathi Private Ltd. 1973

⁶⁸ Canada, I. a. R. B. O. (1991, June 10). IRB – Immigration and Refugee Board of Canada (Author): "Information on Jamaat-i-Islami or Jammat Islami, its activities, membership, policies, and connections to military groups, other states, terrorist groups, etc. [IND8693]", Document #1032640 - ecoi.net. Immigration and Refugee Board of Canada. [https://www.ecoi.net/en/document/1032640.html#:~:text=The%20residents%20of%20Gujra%20and,in%20the%20countryside%20\(lbid\).](https://www.ecoi.net/en/document/1032640.html#:~:text=The%20residents%20of%20Gujra%20and,in%20the%20countryside%20(lbid).)

suspected of assisting the group under preventive laws.⁶⁹

North Eastern Secessionist Organisations

United National Liberation Front

The United National Liberation Front, also known as the United National Liberation Front of Manipur, is an insurgent group that aims to set up a Meitei-run socialist and sovereign state of Manipur. The Manipuri People's Army was set up as the military wing of the UNLF in 1987.

Kangleipak Communist Party

The Kangleipak Communist Party is a Maoist separatist militant organisation based in Manipur, which has been continuously banned under Section 35 of the Unlawful Activities (Prevention) Act, 1967, by the Government of India for waging war against the state. The Party gets its name, Kangleipak, from the ancient name of Manipur, which reflects its belief that Manipur was 'annexed' by the Indian Union. Formed on April 14, 1980, by Communist ideologues, Ibohanbi and Ibopishak, the party aims to carry out armed struggle against the Indian Government and 'liberate' Manipur through a Maoist Revolution.⁷⁰

United Liberation Front of Asom

The United Liberation Front of Asom (ULFA) was formed in 1979 in Assam to establish a sovereign Assamese state, opposing migration and observing exploitation by the Indian state. The group has engaged in armed insurgency, including major attacks on security forces, many bombings and smuggling of arms, often

operating from camps near the international borders with Bhutan and Bangladesh. ULFA has attracted significant local recruitment among youth disillusioned with unemployment, neglect of development, and cultural marginalisation. Indian security forces have occasionally launched counter-insurgency operations and detained suspected members under preventive laws such as the NSA to stop the group's influence.

PARTY STANCES

Indian National Congress

The Indian National Congress's strong stance towards combating insurgent activity is reflected in its election manifesto. The document sheds light on the steps that the party would take to curb the spread of militancy and secessionism, with a focus on the states of Punjab, Jammu and Kashmir, and Assam. The proposed measures focus on direct action against terrorist outfits, and also the systemic changes that the party plans on implementing to restore democratic processes in the affected areas.⁷¹

Bharatiya Janata Party

The Bharatiya Janata Party's election manifesto highlights the importance of national unity and internal security. BJP suggests measures to manage separatist movements and militancy in Punjab, Kashmir, North-East and other states, which include coordination between the Centre and states, strengthening law and order, enhancing intelligence, supporting security forces, and implementing administrative measures to maintain stability.⁷²

⁶⁹ Liberation Tigers of Tamil eelam (LTTE), terrorist group of Sri Lanka. (n.d.-z).

<https://www.satp.org/satporgtp/countries/srilanka/terroristoutfits/ltte.htm>

⁷⁰ Singh, K. M., & Singh, H. I. (1989). political movements in Manipur. *New Delhi*, 108.

⁷¹ *Indian National Congress (I). Election Manifesto : general election, All India Congress Committee (I)*. (1991, April)

⁷² *BJP Election manifesto 1991*. BJP E-Library. (1991, May). https://library.bjp.org/jspui/bitstream/123456789/239/1/BJP_ELECTION_MANIFESTO_1991.pdf

Communist Party of India (Marxist)

The CPI(Marxist) opposes separatist demands in Punjab, Assam, Tripura and elsewhere, insisting militant groups be demobilised and violence prevented. At the same time, they criticise the Congress government's reliance on repression, arguing that the unrest came from economic neglect and lack of autonomy. The party calls for political accommodation and socio-economic reforms instead, emphasising that lasting peace required addressing the root causes of discontent rather than just using force to seek a balanced approach combining security with development.⁷³

All India Anna Dravida Munnetra Kazhagam

The All India Anna Dravida Munnetra Kazhagam, or the AIADMK, is a regional political party gaining support especially in Tamil Nadu. The party campaigns on protecting the rights of the Tamil people in both India and Sri Lanka. In a bid to dissociate itself from the Dravida Munnetra Kazhagam, the party from which it split, founder M.G. Ramachandran chose to ally the party with the Indian National Congress. The party supported Prime Minister Indira Gandhi's decision to declare an Emergency, citing security concerns. Throughout its history, it has continued to support the Congress's stance.⁷⁴

CONCLUSION

India's responses to insurgent forces have been varied in the past, with negotiation and violent suppression both used as tactics to quell the crises. However, calls for better and more streamlined responses have grown in recent times, especially from the Bharatiya Janata Party. As insurgent groups in India become more vocal and violent by the day, it is imperative to create

frameworks to effectively deal with these threats to India's sovereignty.

⁷³ "CPI(M) Election Manifesto (1967)," *Marxists.org* (archive of CPI(M) manifesto).
[https://www.marxists.org/subject/india/cpi\(m\)/election-manifesto-67.pdf](https://www.marxists.org/subject/india/cpi(m)/election-manifesto-67.pdf)

⁷⁴ Shanthie Mariet D'Souza Research Fellow, I. of S. A. S. (n.d.). All India Anna Dravida Munnetra Kazhagam. Encyclopædia Britannica. <https://www.britannica.com/topic/All-India-Dravidian-Progressive-Federation>